

HALCYON ENTERPRISES
FINANCE & OPERATIONS POLICY MANUAL

CORPORATE TRAVEL, EXPENSE & REIMBURSEMENT POLICY

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1. Purpose

This policy defines how Halcyon Enterprises ("the Company") reimburses employees for business-related expenses, and sets out the rules employees must follow when incurring, submitting, and approving such expenses. It exists to protect company funds, keep spending fair and consistent across departments and job levels, and make sure every claim can be reviewed quickly and confidently — whether that review is done by a manager, an auditor, or an automated compliance system.

This document is written in plain language on purpose. You should not need a finance background to understand what you can claim, how much you can claim, and who needs to approve it. Where a rule has a specific dollar figure or approval level attached to it, that figure is final and is not open to individual interpretation.

This policy is also the official source of truth used by the Company's automated expense-review systems, including any AI-based classification, dashboard reporting, or auditing tools. If an automated system flags, declines, or approves a transaction, it is applying the exact rules written in this document.

2. Scope & Applicability

This policy applies to every employee of Halcyon Enterprises, regardless of department, location, or seniority, who incurs a cost on the Company's behalf and seeks reimbursement, or who uses a corporate card. It covers, without limitation, spending in the following categories: Wi-Fi/Connectivity, Travel, Hotel, Meals, Entertainment, Software & Subscriptions, Office Supplies, and Miscellaneous expenses.

The policy applies whether the expense is paid personally and later reimbursed, or charged directly to a corporate card. Corporate card holders are held to the same limits, documentation standards, and approval rules as employees seeking reimbursement — a corporate card is not a way around this policy.

This policy does not cover payroll matters, relocation packages, or capital expenditure (equipment purchases over \$2,000), which are governed by separate policies available from the Finance team.

Appendix D lists the Company's approved partner hotels, restaurants, and stores. Employees should use a partner vendor whenever one reasonably exists for the need at hand; non-partner claims remain valid but receive additional scrutiny.

3. Definitions

3.1 Employee Levels

For the purposes of this policy, all roles are grouped into five levels. Approval limits, travel eligibility, and event-hosting rights are all tied to these levels, so it matters which one applies to you.

Level	Typical Scope
Junior	Entry-level and early-career individual contributors
Senior	Experienced individual contributors without direct reports
Manager	First-line people managers responsible for a team

Level	Typical Scope
Executive	Senior individual contributors or specialists operating at department-head level
Director	Department or business-unit leadership

3.2 Departments

This policy applies uniformly across all departments, including Sales, Engineering, Marketing, HR, IT, Finance, and Operations. Department heads may set internal budget targets that are stricter than this policy, but no department may authorize spending that is less restrictive than what is written here.

3.3 Client-Billable vs. Internal Expenses

Every expense in the Entertainment, Meals, Travel, Hotel, and Miscellaneous categories must be marked as either tied to a specific client or project, or marked as Internal / No Client. This is not optional. Client-billable expenses require the client or project name; internal expenses (team lunches, internal meetings, office needs) do not need a client name, but must still state a clear business purpose.

3.4 Key Terms

- "Per-person cost" means the total amount of a group meal, dinner, or entertainment claim divided by the number of attendees, including the employee.
- "Structuring" or "splitting" means dividing what is really one purchase into two or more smaller transactions to stay under an approval threshold. This is treated as a serious violation regardless of intent.
- "Vague justification" means a submitted description that does not explain what was purchased, why it was needed, or who was involved (for example: "Misc", "Other", "expense", "n/a").
- "Personal expense" means any cost that primarily benefits the employee or their family/friends outside of a genuine, describable business purpose.

4. General Principles

Regardless of category or dollar amount, every expense submitted to Halcyon Enterprises must meet all of the following conditions:

1. Business purpose: The expense must be necessary and reasonable for doing your job or serving a client. If you would have spent the money anyway, in your personal life, it is not a business expense.
2. Accurate category: You must select the category that genuinely matches the purchase. Coding a bar tab as "Meals" to avoid Entertainment scrutiny, for example, is a policy violation in itself, separate from the amount involved.
3. Real description: Write what actually happened. Include who was there (a headcount is required for any group meal, dinner, drinks, or party), what the purpose was, and which client or project it relates to, if any.

4. Correct approval level: Some categories are restricted to certain employee levels (see Sections 6 and 7). Submitting a claim you are not eligible to submit is treated as a violation even if the amount itself is reasonable.
5. Timely submission: Expenses must be submitted within 30 calendar days of the transaction date. Claims submitted later require a written explanation and Finance sign-off.
6. One transaction, one claim: Do not split a single purchase into multiple smaller claims. Do not submit the same transaction more than once.

These principles exist because a claim can be "reasonable-sounding" and still fail policy on a technicality — for instance, a \$95 team dinner sounds harmless, but if it was submitted by a Junior employee, it fails both the meal-eligibility rule in Section 7.1 and the team-event hosting rule in Section 7.2, regardless of the amount.

5. Documentation & Receipt Requirements

All expenses over \$25 require an itemized receipt, not just a card slip. Below \$25, a brief but specific description is acceptable in place of a receipt, but the description must still explain what was bought.

For any claim involving more than one person (a meal, dinner, drinks, or party), the justification must state the number of attendees. A claim that says only "Dinner" with no headcount will be routed for manual review even if the amount looks reasonable, because Finance cannot verify the per-person cost without it.

Every claim in the Entertainment, Meals, Travel, and Hotel categories must state either the client/project it relates to, or explicitly note that it is an internal, non-client expense. Claims with a blank or missing client field are treated as incomplete.

6. Employee Level & Approval Rights

Not every employee level is entitled to submit every type of expense. This policy takes a deliberately restrictive, need-to-spend approach: eligibility narrows sharply at the Junior and Senior levels, and expands only as employees take on team, budget, or client-facing responsibility. The table below is the authoritative eligibility matrix; category-specific caps and conditions follow in Section 7, and the maximum claimable amount for every category and level is set out in Appendix C.

Category / Right	Junior	Senior	Manager	Executive	Director
Wi-Fi / Connectivity (business travel only)	Yes*	Yes	Yes	Yes	Yes
Meals (solo or team)	No	No	Yes	Yes	Yes
Client Entertainment (within cap)	No	Yes†	Yes	Yes	Yes
Ground Transport / Flights / Trains	No	No	Yes‡ (minimal only)	Yes	Yes
Hotel	No	No	Rare/exceptional only§	Client-visit only¶	Yes

Category / Right	Junior	Senior	Manager	Executive	Director
Hosting/claiming a team party or company-wide event	No	No	Yes	Yes	Yes
Office Supplies	No	Yes	Yes	Yes	Yes
Software & Subscriptions	No	Yes	Yes	Yes	Yes
Miscellaneous	No	Yes	Yes	Yes	Yes
Personal wellness/fitness reimbursement	No	No	No	No	No

*Wi-Fi/Connectivity is the only expense category available to Junior-level employees. Junior employees are not eligible for any other category in this table, regardless of amount or circumstance — see Section 7.7. Junior-level employees are also provided with company-arranged cab transport for all business travel and client visits; because this transport is already company-funded and pre-booked through the Travel Desk, Junior employees must never incur or submit their own transport, train, flight, or taxi expenses. If a Junior employee books their own transport instead of using the provided service, the claim will be declined regardless of the amount — the correct step is to contact the Travel Desk, not to pay out of pocket.

†Senior employees may submit Client Entertainment only when a specific client or project is named. Senior employees are not eligible for any internal meal, team meal, or team entertainment claim — see Section 7.1.

‡Manager-level transport eligibility is limited to minimal, local ground transport (see the \$40 per-instance cap in Section 7.3). Managers are not eligible for flights or trains without prior Director-level approval.

§Manager-level hotel claims are only reimbursable in rare, unavoidable circumstances (e.g., a travel disruption that forces an unplanned overnight stay) and require prior written approval from a Director. This is not a routine travel benefit.

¶Executive-level hotel claims are only reimbursable when the stay is directly tied to an overnight client visit. Executives should not claim hotel costs for internal-only travel.

Wellness and fitness costs (gym memberships, personal training, fitness app subscriptions, wellness classes) are never a reimbursable business expense at any level. This applies equally to Managers, Executives, and Directors. Any such cost submitted under any category — including Miscellaneous or Entertainment — will be declined.

7. Category-Specific Rules

7.1 Meals & Client Entertainment

Eligibility: Meal claims — solo or team, internal or client-facing — may only be submitted by employees at Manager level and above. Junior and Senior employees are not eligible to submit a Meals claim of any kind, including a solo meal while traveling or working late. Senior employees may submit a Client Entertainment claim only when a specific, named client or project is attached; Senior employees are not eligible for internal team meals or internal entertainment. Junior employees are not eligible for Meals or Entertainment under any circumstance — see Section 7.7.

Meals and Entertainment are tracked as separate categories, but the same core rule governs both for eligible employees: the Company will reimburse up to \$100 per person, per occasion. This includes food, drinks, tax, and tip combined. If a group meal or entertainment claim works out to more than \$100 per attendee, the excess above \$100 per person is the employee's own responsibility, not the Company's — the same principle applies here as with any capped benefit: the Company covers spending up to the limit, and anything above that is on the individual.

Example: a client dinner for 3 people costing \$360 works out to \$120 per person. The Company will reimburse \$300 (3 x \$100); the remaining \$60 is not reimbursable and should either be paid personally or, if submitted in full, will be flagged for the amount above the cap.

Alcohol served as part of a client dinner or team event falls under Entertainment, not Meals, and must be logged as such. Submitting a bar or pub receipt under the "Meals" category to avoid Entertainment-level scrutiny is a miscoding violation, independent of the amount.

Solo meals (breakfast, lunch, or dinner eaten alone while traveling or working late) are reimbursable up to \$40 without needing a headcount, for Manager-level employees and above only. A solo meal claim should still describe the circumstance (e.g. "working late on month-end close").

7.2 Team Events & Parties

Team parties, department celebrations, and similar group social events may only be organized and submitted by employees at Manager level or above. Junior and Senior employees are not authorized to organize or file claims for team parties, regardless of the amount or how reasonable the per-person cost looks. This is a hosting-rights rule, not a spending-cap rule — a \$20-per-person party submitted by a Senior employee is still a violation, because the Senior level is not permitted to host this type of event.

Team party claims must state the department, headcount, and occasion. Bulk-catered events naturally have a lower per-person cost than a sit-down dinner, so the \$100 per-person cap under Section 7.1 is still the ceiling, but is rarely the binding constraint for larger events.

7.3 Travel & Hotel

7.3.1 Ground Transport, Flights & Trains

Transport eligibility is tightly tiered by level. Junior employees use the Company's pre-arranged transport service and must never submit their own transport claims (see Section 6). Senior employees are not eligible for any transport claim. Manager-level employees are eligible only for minimal, local ground transport (taxis/rideshare to and from a client site, airport, or station), capped at \$40 per instance; Managers are not eligible to book or claim flights or trains without prior written approval from a Director. Executive and Director-level employees are eligible for the full range of transport — ground transport, flights, and trains — on a reasonable and documented basis, with no fixed per-instance cap beyond ordinary reasonableness review.

Multi-day trips should be described with the number of days, the general purpose, and whether the trip is client-related or internal. Meals during travel are claimed separately under the Meals category, subject to the eligibility rules and caps in Section 7.1 — travel claims should not bundle meal costs into a single lump sum.

Business-class travel is only pre-approved for Director-level employees on flights over 6 hours. All other travel should be booked in economy or standard class unless Finance grants a specific exception.

7.3.2 Hotel

Hotel eligibility is separate from, and stricter than, general transport eligibility. Junior and Senior employees are not eligible for any hotel claim, under any circumstance. Manager-level hotel claims are reimbursable only in rare, exceptional situations — for example, an unavoidable overnight stay caused by a travel disruption — and require prior written approval from a Director; this is not a routine benefit and repeated Manager-level hotel claims will be routed for review. Executive-level hotel claims are reimbursable only when the stay is directly tied to an overnight client visit; Executives should not claim a hotel for purely internal travel. Director-level employees are eligible for hotel claims for any legitimate business travel need, client-related or internal, on a reasonable and documented basis.

7.4 Software & Subscriptions

Eligibility: Senior level and above. Junior employees are not eligible for Software & Subscription claims — see Section 7.7.

Recurring software and SaaS subscriptions (design tools, project management platforms, communication tools, and similar) are reimbursable when there is a genuine work use, stated in the justification. Renewals do not need to re-justify the tool's purpose every month, but the initial claim and any annual renewal should note whether the tool supports a specific client engagement or general internal work.

Employees should avoid purchasing the same category of tool that the Company already provides company-wide (for example, an individually-purchased video conferencing subscription when a company-wide license already exists). Duplicate tooling purchases will be flagged for review, not automatically declined, since there are sometimes legitimate reasons for a second tool.

7.5 Office Supplies

Eligibility: Senior level and above. Junior employees are not eligible for Office Supplies claims — see Section 7.7.

Office supplies and home-office equipment (desks, chairs, monitors, basic peripherals, stationery) are reimbursable up to \$500 per single transaction without prior approval. Purchases at or below \$500 can be submitted directly.

Any single Office Supplies transaction over \$500 requires written pre-approval from a Manager or above before the purchase is made, and the approval reference should be noted in the justification. A claim over \$500 submitted without a prior approval reference will be routed for manual review, and repeated instances may be declined outright.

Do not split one large office-furniture or equipment purchase into two or more smaller transactions to stay under the \$500 threshold. This is treated as structuring (see Section 9) and is a serious violation even if each individual transaction looks compliant on its own.

7.6 Miscellaneous

Eligibility: Senior level and above. Junior employees are not eligible for the Miscellaneous category — see Section 7.7.

The Miscellaneous category exists for legitimate one-off business costs that do not fit any other category — for example, parking during a client visit, postage for signed contracts, or a local SIM card while traveling (Junior employees should use Section 7.7 for connectivity costs instead). Because this category has no natural spending pattern to compare against, it carries the tightest documentation requirement of any category.

Miscellaneous claims must include a specific, concrete description of what was purchased and why. Generic labels such as "Misc", "Other", "various", "n/a", "general purchase", or "expense" are not acceptable on their own and will be treated as vague justifications. Miscellaneous claims above \$200 additionally require a genuinely detailed explanation — a one-word label paired with a claim over \$200 will always be routed for manual review, regardless of employee level.

7.7 Wi-Fi / Connectivity (Junior-Eligible Expense)

Junior-level employees are restricted to a single reimbursable expense category: **Wi-Fi and internet connectivity costs incurred while traveling or working away from a Company location on business** (for example, paid hotel or airport Wi-Fi, or a temporary local data/SIM cost required to stay connected for work).

This is the only expense Junior employees are permitted to submit under this policy. Junior employees are not eligible for Meals, Client Entertainment, Travel, Hotel, Team Events, Office Supplies, Software & Subscriptions, or Miscellaneous claims of any kind, regardless of amount, circumstance, or how reasonable the cost appears. Any such claim submitted by a Junior employee is a Level-Restricted Category violation under Section 9.6, independent of the amount.

Wi-Fi/Connectivity claims are reimbursable up to \$15 per instance and must state the business reason for being away from a normal working location (for example, "hotel Wi-Fi during client site visit, June 12–14").

8. Personal & Non-Reimbursable Expenses

The Company does not reimburse personal expenses under any category, department, or employee level. This includes, but is not limited to:

- Gym memberships, personal training, fitness apps, or wellness subscriptions of any kind.
- Meals, dinners, or entertainment involving an employee's family or friends where there is no client or business purpose.
- Personal travel, personal shopping, or any item primarily for use outside of work.
- Gifts to family members, regardless of occasion.

Employees are expected to use their own payment methods for personal spending. Submitting a personal expense under a business category — even without explicitly saying it is personal — is treated as a compliance violation. Finance and the automated audit system look at the overall pattern of a claim (merchant type, employee level, missing client reference, and the vagueness of the description together) rather than requiring an employee to have stated an expense was personal in order to flag it. A one-line entry such as "Dinner for 4"

at an unfamiliar high-end restaurant, filed with no client attached and no stated business reason, will be treated the same as any other unexplained, high-risk claim and routed for review.

9. Prohibited Practices

The following practices are prohibited regardless of the dollar amount involved, and are treated as compliance violations in their own right:

9.1 Structuring / Splitting Transactions

Breaking one purchase into multiple smaller transactions to avoid an approval threshold (most commonly seen with the \$500 Office Supplies cap) is prohibited. Finance and the automated audit system look for multiple same-day, same-department transactions from the same category that, added together, exceed a threshold that each individual transaction avoids.

9.2 Category Miscoding

Deliberately or carelessly filing an expense under the wrong category to avoid stricter review — such as coding a bar tab as "Meals" instead of "Entertainment", or coding a personal cost as "Miscellaneous" — is prohibited. The category must match what was actually purchased.

9.3 Vague or Generic Justifications

Submitting a claim with a placeholder description ("Misc", "Other", "n/a", "expense") instead of a real explanation is prohibited, particularly at higher amounts. A vague description is treated as a risk signal on its own, separate from whether the underlying spend was legitimate.

9.4 Suspiciously Round or Estimated Amounts

Claims submitted for suspiciously round figures (exactly \$150, \$200, \$250, \$300, and so on) paired with a vague description are a known red flag for estimated or fabricated receipts, and will be routed for manual review. Employees should always submit the exact amount from the itemized receipt, not a rounded estimate.

9.5 Duplicate Submissions

Submitting the same merchant, amount, and date combination more than once — whether by accident or intentionally — is prohibited. The automated audit system checks for duplicate combinations across all submitted claims.

9.6 Level-Restricted Categories

Submitting a category of expense that your employee level is not authorized to submit (Section 6) is prohibited, independent of the amount claimed. Common examples now include: a Junior employee filing any claim other than Wi-Fi/Connectivity; a Senior employee filing a Meals, Travel, or Hotel claim; a Manager filing a flight, train, or non-exceptional hotel claim; or an Executive filing a hotel claim with no client visit attached.

9.7 Weekend & Off-Hours Claims Without Context

Entertainment or Meals claims dated on a weekend must include a clear business reason. A weekend claim with a generic label such as "Meeting" or "Catch up" and no client or project reference will be routed for manual review.

10. Non-Compliance & Consequences

A single flagged claim or an honest documentation mistake is not treated as misconduct — it is simply routed for a closer look, corrected, and resubmitted where appropriate. However, a pattern of policy violations, or any single instance of a clearly deliberate violation (such as submitting a personal family dinner with no business purpose, or repeatedly splitting transactions to dodge the Office Supplies threshold), is treated more seriously.

- First substantiated violation: informal conversation with the employee's manager and a note on file.
- Second substantiated violation within 12 months: formal written warning issued by HR and Finance.
- Repeated or deliberate violations: may result in suspension of expense privileges, requirement to pre-clear all future spending, or referral to HR for disciplinary action up to and including termination, depending on severity.

Employees who are unsure whether a planned expense complies with this policy are encouraged to check with their manager or Finance before incurring the cost. Asking first is never treated negatively.

11. Appeals Process

An employee who disagrees with a declined or flagged claim may appeal within 14 calendar days by submitting a written explanation to their manager and Finance. Appeals should provide any missing context (headcount, client name, business purpose) that was not captured in the original submission. Finance will respond to appeals within 5 business days.

12. Policy Review & Amendments

This policy is reviewed annually by Corporate Finance and Internal Audit, and may be updated between cycles if tax law, currency exposure, or company risk appetite changes materially. All amendments are communicated to employees at least 14 days before taking effect, except where a regulatory change requires immediate implementation.

Note: Sections covering the automated Risk Classification Framework, the Approval Workflow & Automated Decisioning model, and Departmental Budgets & Reporting KPIs are intentionally reserved and will be issued as separate additions to this policy in a later revision.

Appendix A — Quick Reference: Caps & Approval Levels

Category	Cap / Rule	Who Can Submit
Wi-Fi / Connectivity	\$15 per instance	All levels (the only category available to Junior)
Meals (solo or team)	\$100/person group; \$40 solo, no headcount needed	Manager, Executive, Director only
Client Entertainment	\$100 per person, per occasion	Senior (client-named only), Manager, Executive, Director
Team Parties / Company Events	\$100 per person ceiling; hosting rights restricted	Manager, Executive, Director only
Ground Transport / Flights / Trains	Manager: \$40/instance, local ground only; Executive & Director: reasonable & documented, no fixed cap	Manager (minimal), Executive, Director only
Hotel	Manager: rare/exceptional, Director pre-approval required; Executive: client-visit stays only; Director: any legitimate business need	Manager (rare), Executive (client-visit), Director only
Software & Subscriptions	Business justification required	Senior, Manager, Executive, Director
Office Supplies	\$500 per transaction without pre-approval	Senior, Manager, Executive, Director
Miscellaneous	\$200 before a detailed description is mandatory	Senior, Manager, Executive, Director
Wellness / Fitness / Gym	Never reimbursable	No level

Appendix B — Examples: Compliant vs. Non-Compliant

Scenario	Verdict	Why
Manager submits a team lunch, 4 people, \$220 total (\$55/person), client project noted	Compliant	Manager is eligible for meals; under per-person cap; correct client field
Junior submits a \$4.99 hotel Wi-Fi charge while on a client site visit, description states the trip	Compliant	Wi-Fi/Connectivity is the one category Junior employees are eligible for
Junior submits a \$12 lunch while traveling for a client visit	Violation	Junior employees are not eligible for Meals under any circumstance — only Wi-Fi/Connectivity is permitted
Senior submits a \$35 solo dinner while working late, no client	Violation	Senior employees are not eligible for any Meals claim, internal or solo
Senior submits a \$180 client dinner for 2 people, named client attached	Compliant	Client Entertainment is available to Senior and above when a client is named
Senior submits a "team party" for 40 people	Violation	Team parties are restricted to Manager level and above
Manager submits a \$28 taxi to a client site	Compliant	Within the Manager-level minimal ground-transport cap of \$40/instance
Manager submits a \$410 flight with no Director pre-approval	Violation	Managers are not eligible for flights without prior Director approval
Manager submits a \$190 hotel stay after a cancelled flight stranded them overnight, with Director approval attached	Compliant	Manager hotel claims are allowed only in exceptional, pre-approved circumstances — this qualifies
Executive submits a \$240 hotel stay for an overnight client visit, client noted	Compliant	Executive hotel eligibility is limited to client-visit stays, which this is
Executive submits a \$240 hotel stay for an internal offsite, no client	Violation	Executive hotel eligibility does not extend to internal-only travel
Director submits a \$310 hotel stay for an internal strategy offsite	Compliant	Director-level hotel eligibility covers any legitimate business need, client or internal
Junior submits a \$180 train ticket for a client visit	Violation	Junior employees use the company travel desk, not personal travel claims
Employee submits Office Supplies at \$540 with no pre-approval note	Violation	Exceeds \$500 threshold without required pre-approval
Employee submits "Misc — \$250" with no further detail	Violation	Vague description above the \$200 detail threshold
Employee submits exactly \$300 for Travel with description "expense"	Violation	Round number plus vague description is a known red flag
Manager submits a \$65 gym membership under Miscellaneous	Violation	Wellness costs are never reimbursable, regardless of level or category

Scenario	Verdict	Why
Employee submits a bar tab for 3 people under "Meals"	Violation	Alcohol-serving venues belong under Entertainment, not Meals

Appendix C — Maximum Claim Amounts by Category and Level

The figures below are hard ceilings — the most the Company will ever reimburse for that category at that level, regardless of documentation quality. They apply on top of, not instead of, the eligibility rules in Section 6 and the conditions in Section 7: a level marked "Not eligible" may not submit that category at all, at any amount. Where a category is eligible but subject to a special condition (client visit, exceptional circumstance, prior approval), that condition still applies in full even when the claim is within the cap shown here.

Category	Junior	Senior	Manager	Executive	Director
Wi-Fi / Connectivity (per instance)	\$15	\$15	\$15	\$15	\$15
Meals — solo or team (per person)	Not eligible	Not eligible	\$100	\$100	\$100
Client Entertainment (per person)	Not eligible	\$100*	\$100	\$100	\$100
Team Events / Company Parties (per person)	Not eligible	Not eligible	\$100	\$100	\$100
Ground Transport — taxi/rideshare (per instance)	Not eligible	Not eligible	\$40	\$150	\$200
Flights & Trains (per trip)	Not eligible	Not eligible	\$600†	\$2,500	\$4,000
Hotel (per night)	Not eligible	Not eligible	\$150‡	\$250§	\$350
Office Supplies (per transaction)	Not eligible	\$500	\$500	\$500	\$500
Software & Subscriptions (per seat, per month)	Not eligible	\$50	\$50	\$75	\$75
Miscellaneous (per claim)	Not eligible	\$300	\$400	\$500	\$600
Wellness / Fitness / Gym	Never reimbursable at any level				

**Requires a specific, named client or project — see Section 7.1.*

†Manager-level flights/trains additionally require prior written Director approval before booking, even within this cap — see Section 7.3.1.

‡Manager-level hotel claims are only reimbursable in rare, exceptional circumstances with prior Director approval — see Section 7.3.2.

§Executive-level hotel claims are only reimbursable when tied to an overnight client visit — see Section 7.3.2.

Appendix D — Approved Partner Vendors

Halcyon Enterprises maintains negotiated corporate rates and preferred-vendor agreements with the merchants listed below. Employees must book or purchase through a partner vendor wherever one reasonably exists for the need at hand. A claim against a partner vendor is processed under the ordinary category rules in Section 7 with no extra steps.

A claim against a merchant that is not on this list is not automatically declined, but it is treated as a higher-scrutiny claim and will be routed for manual review regardless of amount or employee level — particularly for vendors such as "Unknown Vendor", "Cash Withdrawal", "Local Shop", or "PayPal Transfer", which provide no verifiable merchant detail and are never treated as partner spending.

D.1 Partner Hotels

- Hilton
- Marriott

D.2 Partner Restaurants & Entertainment Venues

- Cafe Einstein
- Chutnify Neukölln
- Five Guys
- Kestrel & Vine
- Local Bakery
- Starbucks
- Vapiano
- Villa Kessler
- Hilton Restaurant

D.3 Partner Ground Transport, Rail & Air

- Uber
- Sixt Rent a Car
- DB Bahn
- Trainline
- Lufthansa
- Ryanair

D.4 Partner Office Supplies & Equipment

- Amazon

- Büro König
- IKEA
- MediaMarkt
- Officeworks
- Staples

D.5 Partner Software & Subscriptions

- Adobe
- Figma
- GitHub
- Microsoft 365
- Miro
- Notion
- Slack
- Zoom.

Appendix E — Master Eligibility & Cap Table

This table merges Section 6 (Employee Level & Approval Rights), Section 7 (Category-Specific Rules), and Appendix C (Maximum Claim Amounts) into a single reference. Where a cell says "Not eligible," no amount or documentation quality changes that — the claim is a Level-Restricted violation under Section 9.6 regardless of amount. Where a condition is stated (e.g., "named client required," "prior Director approval"), that condition must be met even when the amount is within the cap shown.

Category	Junior	Senior	Manager	Executive	Director
Wi-Fi / Connectivity	Eligible — \$15/instance	Eligible — \$15/instance	Eligible — \$15/instance	Eligible — \$15/instance	Eligible — \$15/instance
Meals (solo or team)	Not eligible	Not eligible	Eligible — \$100/person (group) or \$40 (solo, no headcount needed)	Eligible — \$100/person or \$40 solo	Eligible — \$100/person or \$40 solo
Client Entertainment (named client/project required)	Not eligible	Eligible ONLY with a named client/project — \$100/person	Eligible — \$100/person	Eligible — \$100/person	Eligible — \$100/person
Internal Entertainment / Team Events / Company Parties	Not eligible	Not eligible (no hosting rights, regardless of per-person cost)	Eligible — \$100/person	Eligible — \$100/person	Eligible — \$100/person
Ground Transport (taxi/rideshare)	Not eligible — company-arranged transport via Travel Desk only; self-booked = declined regardless of amount	Not eligible	Eligible — \$40/instance, local only	Eligible — \$150/instance	Eligible — \$200/instance
Flights & Trains	Not eligible	Not eligible	Eligible ONLY with prior written Director approval — \$600/trip cap	Eligible — \$2,500/trip	Eligible — \$4,000/trip
Hotel	Not eligible	Not eligible	Eligible ONLY rare/exceptional + prior written Director approval — \$150/night cap	Eligible ONLY when tied to an overnight client visit — \$250/night cap	Eligible for any legitimate business need — \$350/night cap
Office Supplies	Not eligible	Eligible — \$500/transaction (pre-approval reference required above \$500)	Eligible — \$500/transaction (same)	Eligible — \$500/transaction (same)	Eligible — \$500/transaction (same)
Software & Subscriptions	Not eligible	Eligible — \$50/seat/month	Eligible — \$50/seat/month	Eligible — \$75/seat/month	Eligible — \$75/seat/month
Miscellaneous	Not eligible	Eligible — \$300/claim	Eligible — \$400/claim	Eligible — \$500/claim	Eligible — \$600/claim
Wellness / Fitness / Gym (any merchant, any category)	NEVER reimbursable	NEVER reimbursable	NEVER reimbursable	NEVER reimbursable	NEVER reimbursable

Appendix F — Automated Audit Checklist & Severity Rubric

F.1 — Checklist (apply to every transaction, in this order)

1. **Category eligibility.** Look up the employee's level and the transaction's category in Appendix E. For Entertainment specifically, first determine whether a named Client/project is attached (Client Entertainment) or the field reads "Internal / No Client" (Internal Entertainment / Team Event) — eligibility differs between the two.
2. **Cap check.** Compare the claimed amount (or the per-person amount, where a headcount applies) against the Appendix E cap for that level.
3. **Headcount.** For any Meals, Entertainment, or Team Event claim covering more than one person, confirm a specific attendee count is stated. Its absence is a documentation gap requiring manual review, independent of the amount (Section 5).
4. **Client/project field.** For Entertainment, Meals, Travel, Hotel, and Miscellaneous claims, confirm the Client field is either a named client/project or explicitly "Internal / No Client." A blank field is incomplete (Section 3.3).
5. **Description quality.** Confirm the justification states what was purchased and why in concrete terms, rather than a generic placeholder ("Misc," "Other," "Expense," "General purchase," "Catch up," "n/a," and similar — Section 9.3).
6. **Round-number pairing.** Check whether the amount is a suspiciously round figure (exactly \$50, \$100, \$150, \$200, \$250, \$300, and similar) paired with a vague description (Section 9.4). A round figure alone, with a specific and complete description, is not on its own a red flag.
7. **Vendor check.** Confirm whether the merchant appears in Appendix D's partner lists. A non-partner merchant is not automatically declined but is noted for additional scrutiny. "Unknown Vendor," "Cash Withdrawal," "Local Shop," and "PayPal Transfer" provide no verifiable merchant detail and are always treated as high-scrutiny.
8. **Wellness check.** Confirm the merchant or description is not gym, fitness, wellness, or personal-training related. If it is, the claim is never reimbursable under any category or level (Section 6/8), even if filed under Miscellaneous or another catch-all category.
9. **Weekend/off-hours check.** If the claim is Entertainment or Meals dated on a Saturday or Sunday, confirm a clear business reason and a client/project reference are given (Section 9.7).
10. **Cross-transaction checks.** Structuring (Section 9.1) and duplicate submissions (Section 9.5) are determined by comparing a transaction against the rest of the batch, not by reading a single claim in isolation. The automated system runs this comparison as a separate pass across the full submission set; when it flags a transaction as a probable duplicate or structuring pattern, treat that flag as established fact for this checklist item.

F.2 — Severity Rubric (apply once the checklist above is complete)

Section 10 defines how repeated violations are escalated over time, but does not, on its own, say how severe a single flagged claim is. This rubric fills that gap so that every reviewer — human or automated — assigns severity the same way:

High — Any category-eligibility violation (Appendix E "Not eligible"), any wellness/fitness expense under any category, a confirmed structuring pattern, or a confirmed duplicate submission.

Medium — The amount exceeds the applicable Appendix E cap by more than roughly 25%; a missing Client/project field combined with a vague description; or a Manager-level Travel/Hotel claim with no approval reference noted in the justification.

Low — The amount exceeds the applicable cap by roughly 25% or less; a missing headcount with no other issue present; a non-partner-vendor claim that is otherwise complete and specific; or a vague description alone with no round-number pairing.

None — No checklist item in F.1 is triggered.

Appendix G — Expanded Worked Audit Examples

These examples extend Appendix B with an explicit severity rating alongside the verdict, calibrated to the F.2 rubric. Before returning a verdict for any transaction, check it against the pattern that most closely matches here.

#	Level	Category	Client	Merchant	Amount	Justification	Verdict	Severity
1	Executive	Software	Internal / No Client	GitHub	\$218.58	Monthly seat renewal, design/collaboration tool	Violation	Medium — \$218.58/seat exceeds the \$75 Executive cap by more than 25% (Appendix E)
2	Senior	Entertainment	Internal / No Client	Local Pub Berlin	\$1,936.00	Organized team party, group of 40, birthday celebration	Violation	High — Senior has no hosting rights for team events (Appendix E) and the vendor is non-partner
3	Manager	Office Supplies	Internal / No Client	Officeworks	\$300.00	general purchase	Violation	Medium — vague justification (Appendix F #5) combined with a round figure (Appendix F #6)
4	Manager	Entertainment	BlueWave Logistics	Vapiano	\$380.00	Dinner with client team (4 people) to finalize Q3 proposal	Compliant	None — \$95/person is within the \$100 cap, headcount and client both stated
5	Junior	Travel	Atlas Capture	Ryanair	\$180.00	Flight to client site visit	Violation	High — Junior is not eligible for any Travel category claim; company-arranged transport applies (Appendix E)
6	Senior	Miscellaneous	Internal / No Client	Local Shop	\$250.00	expense	Violation	Medium — vague justification above the Senior \$300 cap threshold, non-verifiable vendor (Appendix D), round figure
7	Executive	Travel	Internal / No Client	Hilton	\$240.00	Hotel stay for internal offsite	Violation	Medium — Executive hotel eligibility requires an overnight client visit; this is internal-only (Appendix E)